

3-1 Nature of the Adjusting Process

In [Chapter 2](#), the November and December transactions for [NetSolutions](#) were recorded using the double-entry accounting system. After the transactions were recorded, an unadjusted trial balance was prepared

on December 31 verifying that the total debit balances equal the total credit balances.

Before financial statements can be prepared, however, some accounts on the unadjusted trial balance must be adjusted. These adjustments are necessary because the transactions for NetSolutions were recorded using the accrual basis of accounting.

Objective 1 - Describe the nature of the adjusting process.